Memo - Returns risk: what to do before dispatch

To: Ritu Deshpande, Head of D2C Operations · Cc: Farhan Sheikh, Meenal Joshi · From: Anindya Gupta · 11 Oct 2026

The decision

Don't hold orders. Call the risky ones. The model ranks every order by how likely it is to come back. Orders above an 11% risk get a Rs 45 confirmation call before dispatch; everything else ships as normal. No order is ever held.

Why not hold: a hold doesn't stop a return by itself - it only works if the customer cancels, and about 12% of held customers cancel *whether or not they would have returned*. At the level that catches most returns, holding would lose ~29 good orders per 1,000 to stop ~9 returns. A call costs Rs 45 and, in your spring pilot, stopped about a third of the returns on called orders.

The number

The model will not reach 95% accuracy, and no honest model on this data will. About 89% of orders never come back, so a model that flags *nothing* is already 89% "accurate" and saves nothing. Ours is 89.3% accurate on that measure - accuracy is the wrong yardstick.

The number to report to the board: **the riskiest third of orders contains 68% of all returns.** Tested on three quarters of orders it had never seen, the result held each time (ranking quality, AUC, 0.77-0.79).

A version scoring ~99% was possible - by using the reverse-pickup columns, which only get filled *after* a customer asks to return. At dispatch those columns are empty, so that model is useless in the warehouse. We threw it away.

The rupees

Using Finance's Rs 1,150 per return (not Rs 600):

Per 1,000 orders	Today	With calls
Returns	~114	~87
Return cost	Rs 1.31 lakh	Rs 1.00 lakh
Call cost (~320 calls)	-	Rs 14,500
Net saving	**-**	**≈ Rs 16,700 (~13% of return cost)**

On the last export's quarter (2,096 orders): ~716 calls, ≈ Rs 40,000 net. Running the model costs nothing per order - it runs on a laptop, no paid service. The only per-order cost is the call (avg ~Rs 15 across all orders), which Farhan can cap by raising the threshold. This trims returns; it does not fix them. Calls only prevent "wrong model / wrong address / changed mind" returns.

Shield

Shield members are 22% of orders, return at **19% vs 9%**, and make up **37% of returns** - a large share, but not most. They would get the call more often (58% of them). A courtesy call fits Shield far better than a hold; the risk Meenal raised comes from holding, which we are not recommending.

What to do next week

1. **Run a two-week test, not a rollout.** Every day, take orders scoring above 11%; call half at random, ship the other half untouched. Compare returns. The 35% figure comes from one spring pilot - this proves (or kills) it on today's orders.

2. **Agree the threshold with Farhan** using the call-volume table in the evidence folder (e.g. calling only the top 15% still keeps ~85% of the saving at half the call bill).

3. **Ask Tanmay to fix two data issues:** October 2025 order values are stored ×100 by the new payment gateway, and partner-outlet orders appear twice in the export.

4. **Look at Cash on Delivery.** It is the strongest controllable risk driver (COD orders come back at 19% vs about 8% for prepaid). A small prepaid incentive may beat calls - worth a separate test.